

- Bitcoin equals software.
- bitcoin equals currency.

Much of this book will use Bitcoin (with a capital *B*) as the starting point. Bitcoin is the genesis of the blockchain movement. It is common to compare newly created blockchains with Bitcoin's because Bitcoin's blockchain is the longest standing point of reference. Therefore, understanding the basics of Bitcoin is critical.

However, to truly understand Bitcoin, one has to move beyond thinking of it as some digital Ponzi scheme or shadowy system used by criminals. Those are stale stories that continue to tumble through the media mill. In July 2016, researchers from the London School of Economics and Political Science, Deutsche Bundesbank (Germany's central bank), and the University of Wisconsin at Madison released the paper "The Evolution of the Bitcoin Economy." Three reputable institutions would not waste their time, nor jeopardize their reputations, on a nefarious currency with no growth potential.

In that paper, the researchers describe an extensive analysis they performed on Bitcoin's blockchain and the transactions therein. Below is a summary of what they found:

In this paper, we gather together the minimum units of Bitcoin identity (the individual addresses), and group them into approximations of business entities, what we call "super clusters." While these clusters can remain largely anonymous, we are able to ascribe many of them to particular business categories by analyzing some of their specific transaction patterns, as observed during the period from 2009–2015. We are then able to extract and create a map of the network of payment relationships among them, and